

Consumer Markets and Buyer Behavior

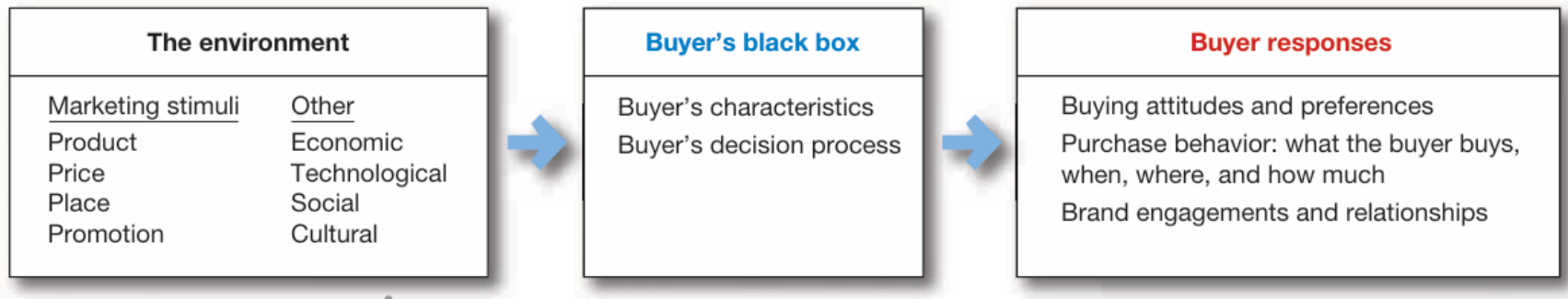
Chapter 5

Lecture 15

Introduction

- Consumer markets refer to individuals and households that buy goods and services for personal consumption.
- Consumer behavior is the study of how individuals, groups, and organizations select, buy, use, and dispose of goods and services.
- Understanding consumer behavior helps marketers design better strategies to attract and retain customers.

● FIGURE | 5.1
The Model of Buyer Behavior

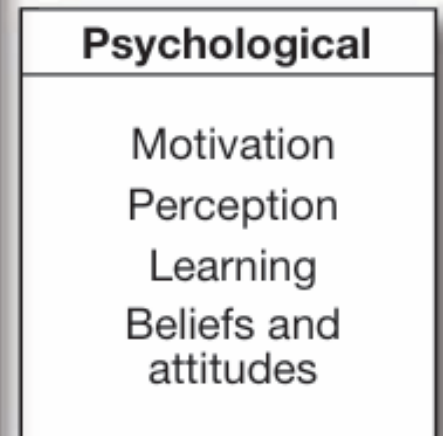
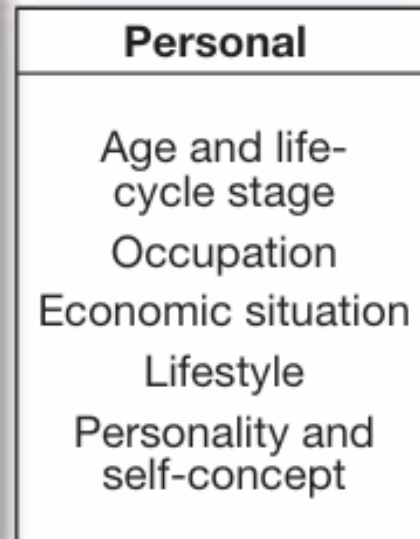
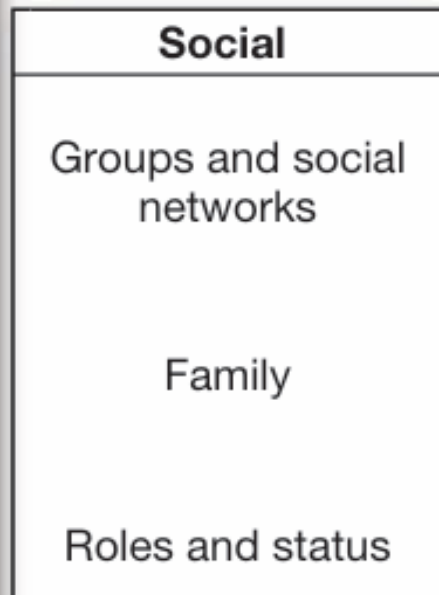
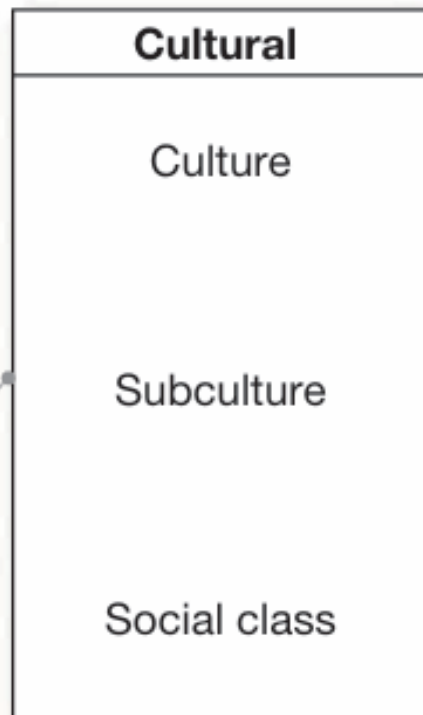


Model of Consumer Behavior

- Stimulus-Response Model:
 - - Marketing Stimuli: Product, Price, Place, Promotion (4Ps).
 - - Other Stimuli: Economic, Technological, Social, Cultural.
 - - Buyer's Black Box: Characteristics and decision process.
 - - Buyer's Response: Purchase decision, brand choice, dealer choice, timing, and purchase quantity.

Cultural Factors Influencing Consumer Behavior

- Culture: Basic values, perceptions, wants, and behaviors learned by society members.
- Subculture: Groups sharing common life experiences (e.g., nationality, religion, ethnicity).
- Social Class: Ordered divisions in society based on income, occupation, education, and wealth.



People's buying decisions reflect and contribute to their lifestyles

Social Factors Influencing Consumer Behavior

- Reference Groups: Influence individual's attitudes and behaviors.
- Family: Most influential factor affecting buying behavior.
- Roles & Status: A person's position in a group influences purchase decisions.

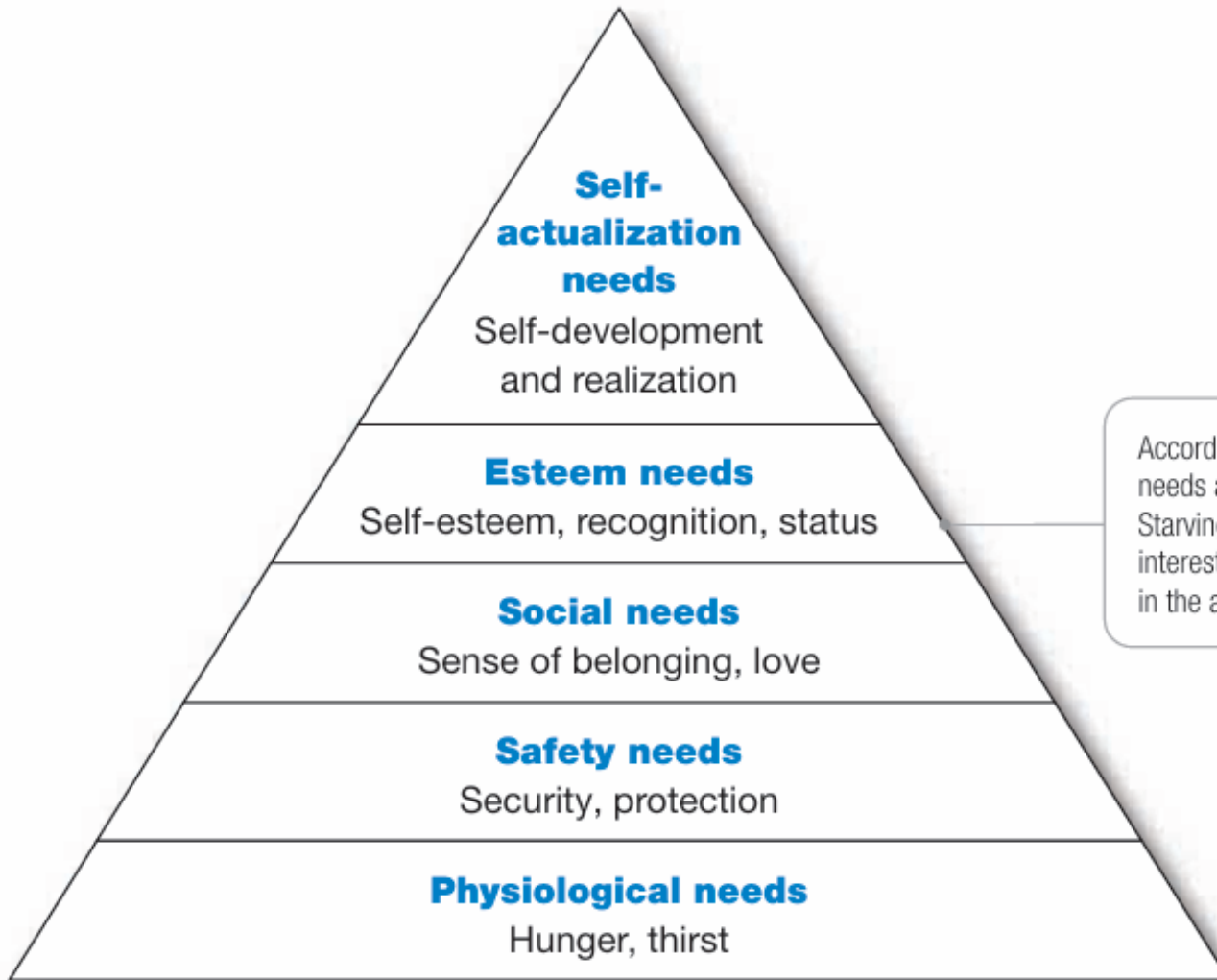
Personal Factors Affecting Consumer Behavior

- Age & Life-Cycle Stage: Different age groups have different needs.
- Occupation: Affects the types of goods and services purchased.
- Economic Situation: Determines affordability.
- Lifestyle: Pattern of living expressed in activities, interests, opinions.
- Personality & Self-Concept: Unique psychological characteristics.

Psychological Factors Influencing Consumer Behavior

- Motivation: A need that drives an individual to act.
- Perception: How people select, organize, and interpret information.
- Learning: Changes in behavior arising from experience.
- Beliefs & Attitudes: Thoughts and feelings influencing buying decisions.

Maslow's Hierarchy of needs



According to Maslow, human needs are arranged in a hierarchy. Starving people will take little interest in the latest happenings in the art world.

Types of Consumer Buying Behavior

- 1. Complex Buying Behavior: High involvement, significant brand differences.
- 2. Dissonance-Reducing Buying Behavior: High involvement, few brand differences.
- 3. Habitual Buying Behavior: Low involvement, little brand difference.
- 4. Variety-Seeking Buying Behavior: Low involvement, significant brand differences.

Significant differences
between brands

ake

Few differences
between brands

High involvement

Low involvement

Complex
buying
behavior

Variety-
seeking
buying behavior

Dissonance-
reducing
buying behavior

Habitual
buying
behavior

The Buyer Decision Process

- 1. Need Recognition: Identifying a need or problem.
- 2. Information Search: Looking for options to satisfy the need.
- 3. Evaluation of Alternatives: Comparing different products.
- 4. Purchase Decision: Selecting and buying the product.
- 5. Post-Purchase Behavior: Satisfaction or dissatisfaction leading to repurchase or brand



- perception The process by which people select, organize, and interpret information to form a meaningful picture of the world.
- Learning Learning Changes in an individual's behavior arising from experience.
- Belief A descriptive thought that a person holds about something.
- attitude A person's consistently favorable or unfavorable evaluations, feelings, and tendencies toward an object or idea

Adoption and Diffusion of New Products

- Stages of Adoption: Awareness, Interest, Evaluation, Trial, Adoption.
- Types of Adopters:
 - - Innovators (2.5%): First to try new products.
 - - Early Adopters (13.5%): Opinion leaders.
 - - Early Majority (34%): Deliberate before adopting.
 - - Late Majority (34%): Skeptical and adopt later.
 - - Laggards (16%): Resistant to change.

Stages of Adoption

